

Renew the freight contract, or take it to market

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YOU

What it already knows: the incumbent's terms, three years of delivery performance, the two carrier quotes that came in last cycle, and the operational cost of switching. This memo reads the substrate and lays the choice out so you can decide in one sitting.

The decision

One choice, with a clock on it.

Meridian Freight Partners, the carrier that moves most of your outbound volume, has offered an early renewal: a three-year term at roughly **\$2.1M per year**, signed before the current agreement lapses on **July 31**. Sign it and rates are locked through 2029. Let it lapse without a plan and you risk a coverage gap in peak season. The decision blocks the Q3 logistics budget and the warehouse staffing plan, both of which assume a settled freight rate.

The two options

Renew the incumbent on the table, or open the lane to competitive bids now while you still have leverage.

OPTION A

Renew with Meridian

3-year term · ~\$2.1M/yr ·
locked through 2029

UPSIDE

- No disruption. The lanes, the EDI integration, and the dock routines all stay exactly as they are.
- **Rate certainty** for three years removes freight as a variable in every forward plan.
- Decision closes in a day, which unblocks the Q3 budget immediately.
- Relationship capital with a carrier that knows your seasonal surge profile.

RISK AND COST

- You lock in a rate that two competitors already signaled is **8 to 12 percent high**.
- Service has been slipping, and a three-year term rewards that with no pressure to fix it.
- Walking away later means breaking a signed term, not declining a renewal.

OPTION B

Take it to market

competitive bid · 6 to 10 week
cycle · rebid all primary lanes

UPSIDE

- Live quotes last cycle ran **8 to 12 percent below** Meridian, worth \$170K to \$250K a year if they hold.
- A credible bid resets the negotiation and gives you a real walk-away.
- Service-level terms can be written in fresh, with penalties for the slippage you are seeing.
- You learn the true market rate, which is worth knowing even if you stay.

RISK AND COST

- **Ramp risk.** A new carrier means new integrations and a learning curve through your peak.
- Switching cost is real: estimated **\$90K to \$130K** in onboarding, dual-running, and process change.
- The cycle takes weeks, which puts the July 31 deadline under genuine pressure.

What the data says

Three findings the system pulled from your own records, not assumptions.

On-time delivery has slipped to 91 percent

Down from a 97 percent baseline at signing · the decline is steady, not a single bad month · concentrated in your two highest-volume lanes

SERVICE

Two carriers quoted 8 to 12 percent below Meridian last year

PRICING

Both bids covered your primary lanes at comparable transit times · neither was used as leverage at the time

Switching cost estimated at \$90K to \$130K, one time

TRANSITION

Onboarding, EDI rebuild, and roughly six weeks of dual-running · recovered inside the first year at the quoted rates

Recommendation

Renegotiate, with a real bid in hand.

RECOMMENDED

Open Option B, then negotiate from it

target: hold Meridian, win the lower rate and enforceable service terms

Run the competitive bid now, before you sign anything. The case is not price alone, it is that service has fallen six points while the incumbent asks you to lock in for three more years. A live bid that comes in 8 to 12 percent lower gives you a credible walk-away and reframes the conversation from renewal to performance. Most likely outcome: Meridian meets the market rate and accepts service-level penalties to keep the volume, and you keep continuity at a better number. If they will not move, the switching math already pays back inside year one, so the walk-away is real and not a bluff.

What I would watch

If you take this path, these are the risks to keep in view.

The July 31 clock

TIMING

A full bid cycle is tight against the deadline · agree a short extension with Meridian early, or set a hard internal decision date of July 15

Quote durability

PRICING

Last year's competitor pricing may not hold · treat the 8 to 12 percent as a target to confirm, not a settled number

Peak-season ramp

EXECUTION

If you do switch, do not let onboarding land inside your surge window · sequence dual-running to finish before volume climbs

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